

26STCV16988 26STCV16988

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SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

26STCV16988

RANDALL

RENICK, et al. vs SUNDANCE GROUP, LLC, et al.

September

23, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANTS' DEMURRER TO PLAINTIFFS' COMPLAINT FOR DAMAGES.

RULING:

The Court overrules the Demurrer.

Twenty
days to answer.

Plaintiff
to give notice.

I.
BACKGROUND

On May 28, 2026, RANDALL
RENICK and CANDY RENICK (Plaintiffs) filed a Complaint against SUNDANCE GROUP,
LLC, and TERRENCE W. CHOW and CATALINA H. CHOW, individually and as TRUSTEES of
THE CHOW LIVING TRUST DATED MARCH 13, 2019 (Defendants), listing Causes of
Action for:

1.
VIOLATION OF UNFAIR COMPETITION LAW, BUS. & PROF. CODE §§ 17200, ET SEQ.

2.
VIOLATION OF THE CITY OF LOS ANGELES PRICE GOUGING LAW, L.A.M.C. § 47.12.

Plaintiffs allege that the
landlord Defendants engaged in price gouging to exploit the January 2025
wildfires, by charging a displaced family inflated rent for a home at 3731
Toland Way, Los Angeles, with a lease term from January 26, 2025 through July
31, 2025. Further, Plaintiffs allege that the price gouging restrictions were
effective starting January 7, 2025, pursuant to the following authorities: Governor's
State of Emergency pursuant to Government Code Section 8625; Los Angeles County
Board of Supervisors' Local Emergency; and Mayor's Local Emergency pursuant to
Los Angeles Administrative Code Section 8.27. (Complaint, ¶¶ 71-73.)

On August 11, 2026, Defendants
filed the Demurrer to the Complaint, on grounds that Code of Civil Procedure
section 396, based upon the Emergency Declaration, unconstitutionally did not
provide fair notice of when rent control limits were invoked, or provide for a
fair return financially. (Request for Judicial Notice, Exhibit 1.) Additionally,
Defendants contend that LAMC section 47.12 did not regulate housing rents until
after the parties entered into the lease but Defendants never increased that

rent thereafter. Also, Defendants argue unconstitutionality based on uncertain law meaning, and wrongful taking by rent restricting.

Plaintiffs' Opposition counters

each of Defendants' arguments and alternatively requests leave to amend.

II.

LEGAL STANDARD

Demurrers are to be

sustained where a pleading fails to plead adequately any essential element of the cause of action. (*Cantu v. Resolution*

Trust Corp. (1992) 4 Cal.App.4th 857, 879-880.) A complaint does not necessarily need to be a model of pleading but needs sufficient factual allegations. (E.g., *State v. The Superior Court* (2001) 87 Cal.App.4th 1409, 1411.)

Plaintiffs

are not required to address and anticipate affirmative defenses in their pleadings, unless already revealed. (E.g.,

Gentry v. eBay, Inc. (2002) 99

Cal.App.4th 816, 825.) "[A] demurrer based on an affirmative defense will be

sustained only where the face of the complaint discloses that the action is necessarily barred by the defense." (*McKenney*

v. Purepac Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 78-79.)

Issues of legislative

interpretation involve pure questions of law that reviewing courts

independently review de novo, without any deference to trial courts. (E.g., *Wolf v. CDS Devco* (2010) 185

Cal.App.4th 903, 913; *Regents of Univ. of*

Cal. v. Superior Court (1999) 20 Cal.4th 509, 531.)

"Evidence Code section

456 provides the trial court must indicate for the record if it denies a request for judicial notice." (*Aaronoff*

v. Martinez-Senftner (2006) 136 Cal.App.4th 910, 919 ["The record contains

no indication the request for judicial notice was denied. We conclude the trial court took judicial notice of the requested matter, particularly in light of

its decision."].)

III.

ANALYSIS

Defendants summarize the
Demurrer bases, as follows:

The
application of Penal Code § 396 fails because the emergency declaration on which Plaintiffs rely did not give fair notice that section 396's rent control limits had been invoked, the Complaint alleges no rental-price increase by Defendants, and because imposing liability would impose a confiscatory ceiling without any procedure available to assure a fair return. The LAMC section 47.12 claim independently fails because the ordinance did not regulate housing rents until after the parties fixed the rent in a written lease, and Defendants never increased that rent after the amendment took effect.

(Demurrer, 2:10-15.)

Plaintiffs' Opposition

primarily contends (1) Section 396, subdivision (e) applies beyond just increasing landlords' previously charged rent, (2) Defendants had the information to understand the applicable law, (3) no unconstitutional taking is revealed, and (4) retroactive application is not present.

The parties' briefing,
and the Court's independent research, indicates that there is very little governing law on point regarding price gouging during emergencies. "A legal proposition asserted without apposite authority necessarily fails." (People v. Taylor (2004) 119 Cal.App.4th 628, 643.)

A. Legislative and Ordinance Interpretation

Legislative

interpretation begins by examination of the language of the statute, giving the words their ordinary meaning and considering them in the context of the statutory framework. (Barnes v. Dept. of Corrections (1999) 74 Cal.App.4th 126, 131.)

"The court will apply common sense to the

language at hand and interpret the statute to make it workable and reasonable.”

(Gattuso v. Harte-Hanks Shoppers, Inc.

(2007) 42 Cal.4th 554, 567.) Courts interpret ambiguous statutes in a manner that promotes their general purpose, and avoids “unreasonable, impractical, or arbitrary results.” (Catholic Mut. Relief

Soc’y v. Superior Court (2007) 42 Cal.4th 358, 372.) “[I]f the clear

meaning of the statutory language is not evident after attempting to ascertain its ordinary meaning or its meaning as derived from legislative intent, we will

‘apply reason, practicality, and common sense to the language at hand.’” (Sisemore v. Master Financial, Inc. (2007) 151 Cal.App.4th 1386, 1411.)

“If the language permits

more than one reasonable interpretation,... the court looks “to a variety of extrinsic aids, including the ostensible objects to be achieved, the evils to be remedied, the legislative history, public policy, contemporaneous administrative construction, and the statutory scheme of which the statute is a part.”” (S.B. Beach Properties v. Berti (2006)

39 Cal.4th 374, 379.) When legislation is ambiguous, courts consider, among other things, the objects, remedies, history, public policy, contemporaneous administrative construction, and the statutory scheme. (Nolan v. City of Anaheim (2004) 33 Cal.4th 335, 340.)

“The legislature is ...

presumed to have enacted legislation with existing law in mind.” (Harris v. Verizon Communications (2006)

141 Cal.App.4th 573, 585, disapproved on other grounds by Azure Ltd. v. I-Flow Corp. (2009) 46

Cal.4th 1323, 1336.) “It is a cardinal rule of statutory construction that

statutes relating to the same subject matter must be read together and reconciled whenever possible.” (Womack

v. San Francisco Community College Dist. (2007) 147 Cal.App. 854, 860-861.)

“The administrative

construction of a statute is entitled to weight unless a contrary legislative purpose is apparent.” (Goehring v.

Chapman University (2004) 121 Cal.App.4th 353, 383.)

“Courts interpret

ordinances in the same way as they construe statutes.” (Stolman v. City of Los Angeles (2003) 114 Cal.App.4th 916, 928.

Accord, H.N. & Frances C. Berger

Found. v. City of Escondido (2005) 127 Cal.App.4th 1, 12 [“The construction of an ordinance is a pure question of law for the court.”].)

“Section 396, subdivision

(e), provides in relevant part: ‘Upon the proclamation of a state of emergency declared by the President of the United States or the Governor, or upon the declaration of a local emergency by an official, board, or other governing body vested with authority to make that declaration in any city, county, or city and county, and for a period of 30 days following that proclamation or declaration, or any period the proclamation or declaration is extended by the applicable authority, it is unlawful for any person, business, or other entity, to increase the rental price, as defined in paragraph (11) of subdivision (j), advertised, offered, or charged for housing, to an existing or prospective tenant, by more than 10 percent.... This subdivision does not authorize a landlord to charge a price greater than the amount authorized by a local rent control ordinance.’ ” (W. Manufactured Hous. Communities Assn. v. City of Santa Rosa (2026) 119 Cal.App.5th 1275, 1280, 1287 [“Legislature expressly did impose the 10-percent limit on mobilehome spaces subject to rent control—both those already rented at the time of the declaration of emergency and those rented afterwards.”].)

“It is the intent of the

Legislature in enacting this act to protect citizens from excessive and unjustified increases in the prices charged during or shortly after a declared state of emergency or local emergency for goods and services that are vital and necessary for the health, safety, and welfare of consumers, whether those goods and services are offered or sold in person, in stores, or online. Further, it is the intent of the Legislature that this section be liberally construed so that its beneficial purposes may be served.” (Cal. Penal Code § 396, subd. (a).)

Plaintiffs reason that, “Penal

Code section 396(e) prohibited Defendants from advertising, offering, or charging more than ten percent above the rental price subparagraph (11)(B) defines for this never-rented, furnished house.” (Opposition, 4:18-20.) The Court concurs that the written intent of the section is to preclude rent amounts that are increased above statutorily permitted sums, not just increases from previously charged rent. Because Legislative intent is to prevent unjustified prices during or after emergencies, it would be ineffective to allow landlords to initially invite or enter into a lease for rent already increased to take advantage of emergency conditions, whether before renting, or during monthly rent charges. Alternatively, assuming that successive rent amounts must be the type of increase, Plaintiffs allege that Defendants increased the

advertised price up to the lease amount. (Opposition, 9:7-9:27.)

As for LAMC section

47.12, Plaintiffs maintain that it provides for a rent ceiling for units not rented in the year preceding an emergency, including units initially rented after an emergency is declared. (Opposition, 7:6-16.) The Court concurs with that interpretation also. Similar price-gouging provisions should be construed harmoniously towards regulating emergency-based price gouging, without a large loophole that would allow initially charging increased rent to take advantage of emergencies or perpetuating those increases in monthly rental payments.

Further, administrative

handling indicates that the above interpretations are correct, since allegedly the Los Angeles Housing Department and City Attorney had issued advisories to Defendants expressing similar meanings. (Opposition, 8:16-9:6.)

B. Constitutionality

First, a statute is

unconstitutionally vague and cannot be upheld where it forbids or requires an act in terms such that people of common intelligence must “guess at its meaning and differ as to its application.” (Ortiz v. Lyon Management Group, Inc. (2007) 157 Cal.App.4th 604, 612, disapproved on other grounds by Connor v. First Student, Inc. (2018) 5 Cal.5th 1026, 1038.)

However, that ascertaining

statutory meaning involves some effort, may be permissible. “[T]he due process clauses of the California and federal Constitutions require civil as well as criminal statutes to be sufficiently clear to provide a standard for uniform application.... A statute will be upheld if its terms may be made reasonably certain by reference to its legislative history or purpose.” (In re Marriage of Walton (1972) 28 Cal.App.3d 108, 116.)

Procedurally, because

constitutionality is not a claim element, but a defense, Plaintiff has no obligation to plead around it. Alternatively, Defendants reportedly had access to various information sources that would reasonably make certain the statutory requirements. (E.g., Opposition, p. 10.)

Second, “[c]ompensation

need not be paid unless the ordinance or regulation fails to serve an important governmental purpose or 'goes too far' as applied to the specific property that is the object of the litigation. [Citation.] The impact of a law or regulation on the owner's right to use or develop the property cannot be assessed until an administrative agency applies the ordinance or regulation to the property and a final administrative decision has been reached with regard to the availability of a variance or other means by which to exempt the property from the challenged restriction." (Hensler v. City of Glendale (1994) 8 Cal.4th 1, 12.) "Controls in the landlord-tenant area are legitimate exercises of the police power if they are reasonably calculated to eliminate excessive rents and at the same time provide landlords with a just and reasonable return on their property. The fact that rent control allows tenants to reap economic benefit the owners would otherwise enjoy does not mean it is an unconstitutional taking if the owners are not denied a fair and reasonable return.¹" (29 Cal. Jur. 3d Eminent Domain § 350.)

Again, Plaintiffs are not required to anticipate and to negate defenses that are not claim elements. Additionally, the Complaint and Judicial Notice are lacking in information for enabling a determination of an unconstitutional taking, including the importance of the governmental purpose to prevent price gouging during emergencies, and the amount of a just and reasonable return for the residential rental.

C. Retroactivity

"In construing statutes, there is a presumption against retroactive application unless the Legislature plainly has directed otherwise" (Bank of America, N.A. v. Roberts (2013) 217 Cal.App.4th 1386, 1394.)

The Complaint does not seek to apply LAMC section 47.12 to rent collected before the Ordinance became effective on February 26, 2025, but only to initially excessive rent perpetuated as monthly payments, thereafter. (Opposition, 13:8-26.) Beyond initial rent payments, Section 47.12, subdivision (e), broadly includes rent "advertised, offered, or charged to, or accepted from, an existing or prospective tenant."

IV.

CONCLUSION

The Court overrules the
Demurrer, for reasons stated herein.

Finally, the Court
sustains Plaintiffs' objection, filed September 10, 2026, to Judicial Notice of
Exhibit 4. Judicial notice requests may be denied based upon lack of relevance.
(Kashian v. Harriman (2002) 98
Cal.App.4th 892, 901, fn.3; Ragland v.
U.S. Bank National Assn. (2012) 209 Cal.App.4th 182, 194; Barratt Amer., Inc. v. City of San Diego
(2004) 117 Cal.App.4th 809, 812, fn. 2 [court denied judicial notice of city
resolutions as being irrelevant to question involved in demurrer].)